

Fiqh of Finance Summarized Notes and Questions

- How does the Quran describe wealth?
 - As a source of good or evil. Allah refers to wealth using words like “khair” but also describes wealth as a distraction and test.
- Four types of transactions (things that can be exchanged)
 - A service for money
 - A commodity for commodity
 - A commodity for money
 - Buying the benefit of something (e.g renting a home for benefit of shelter)
- What are the components of a sale we discussed?
 - The contract, possession, the trading parties, price, and the product
- What are the three elements required of any contract?
 - The offer, acceptance of the offer, and mutual consent
- Name and describe the 2 types of possession
 - Actual - commodity is physical transferred after the sale
 - Constructive - commodity isn't physically owned by the buyer yet, removal of encumbrances to the thing purchased. It's physically with someone else
- Risk is determined by liability, and possession = liability
- Halal vs haram pre sales
 - Halal - reserving your place in the list of people who want to buy something for something that exists or is still being manufactured by putting down a deposit
 - Haram - buying something that doesn't exist yet (the baby of an animal). It's haram to sell something you don't own OR possess.
- Conditions of the trading parties: sanity and maturity
- There must be at least two parties - you can't buy and sell to yourself
- What are the 5 details of price that need to be clear at the time of sale?
 - Amount of payment - the complete and full price, all fees included
 - Form of payment - money, trade, services are all halal forms
 - Type of currency - if it's made in cash, what type of money
 - Mode of payment - what form is the payment expected to be made
 - Date and schedule - paying at time of delivery, paying over time, etc.
- What is best practice for setting prices? To price everyone equally.
- Conditions of the sale of a product
 - The product must exist (Exception is بيع السلم)
 - Product must be specified (can't be one out of a dozen cars)

Fiqh of Finance Summarized Notes and Questions

- Product must have a specific owner (random desert sand)
- Deliverable product (can't sell a fish still in the water)
- Specified quality and quantity (any flaws should be disclosed)
- Product must be halal
- Drop shipping
 - Definition: There is an agent between the manufacturer and the customer, but the agent isn't the manufacturer and doesn't do any work.
 - Islamically: the dropshipper is the agent, not the supplier, because the customer will hold the dropshipper accountable rather than the supplier.
- Types of sales
 - Spot sale: Payment and delivery of the product are at the same time
 - Advanced payment: Paying in advance for an item that doesn't exist yet or is not accessible yet.
 - Credit sales: Payment is made at the time of transaction but it's not the full payment. Details that must be agreed on before hand: *final price, time of due payment, and where payment will be made*
 - Later delivery and late payment: No payment and no delivery at the time of transaction. *This is an exchange of debt and therefore haram.*
- Describe advanced payments in Islam
 - The product doesn't exist at the time of sale and needs to be created
 - Conditions of بيع السلم
 - Quantity and quality is known at time of sale
 - Price is known at time of sale
 - The time/place of delivery is known
 - Must know the relevant specs (what type of date)
 - Must be a homogeneous item (dates, grains, eggs)
 - Price is paid at the time of sale
 - Must be a fungible item
 - The buyer can't pre sell the item he doesn't have yet
 - The seller can't invest the money into anything else (outside of the two necessities) until he delivers the item to the buyer
- What are the three types of currencies? Money, gold, and silver.
- Ground rules for currency exchanges
 - Any currency traded with its like needs to be equivalent on both sides, otherwise any increase is riba (same weight of gold or amount of money)

Fiqh of Finance Summarized Notes and Questions

- Currency trade is dependent on the market
- ALL currency exchanges must be a spot transaction
- Option definition: stipulation in the sale that allows the possibility of a different outcome aside from what was originally decided in the deal
 - Returning the product just in case it's flawed
 - Putting something to the side at the register bc you changed your mind
- Types of options
 - Withdrawal or return option: pulling out of the deal before it's done.
 - Must be stipulated BEFORE the deal is complete
 - Other party must witness and agree to the option request
 - A time limit needs to be set to go back on the sale
 - Must inform the other party when you exercise the option
 - False advertising option: A product description is so different from the product that the buyer would not have purchased it; automatic in all sales
 - Price fraud option: the believed price was not what it was sold for. Needs evidence that the parties were tricked, and must stop using the product.
 - Inspection option: inspecting the product before finalizing the sale
 - Defect option: something that takes away from the value of the item or what it's advertised to be used for (functionality)
 - Defect must be pre existing
 - Disclosure of defect is given or apparent
 - If the buyer acknowledged the defect before inspecting it you can't expect the sale to be undone bc of that flaw
 - If the defect can easily be fixed by the seller, the seller doesn't have to refund the buyer and take the product back
 - This option can be used after the sale w the seller's consent
 - Rescinding option: Annulment; Undoing the sale primarily for the benefit of the other party; a no questions asked refund
 - Must be mutual
 - Exact amount paid must be returned
 - The seller can't keep any money or ask for more
- What is the rule for considering something to be a currency?
 - Rule: once society attributes value to something, it's considered valuable
- Is crypto seen as a currency?

Fiqh of Finance Summarized Notes and Questions

- Some scholars see it as an asset like a stock, while others say it's a currency. The asset is the more cautious view.
- Types of transactions
 - Complete or valid sale - all conditions are followed
 - Void transaction - conditions aren't fulfilled
 - Sale of a debt, selling something haram, selling stolen items
 - Defective transaction - some aspects of the transaction are disputable
 - A condition of the sale is left not fully described
 - Stipulating a condition that isn't compatible with the sale (e.g selling something but saying that the new owner can't sell it)
- Undesirable transactions - makruh
 - A sale during jumaa salah
 - Breaking a sale with one person to profit more from another customer
 - نجش - Raising the price through deceptive means
- Name a few best practices of transactions
 - Honesty, ease of conduct, avoid oaths, avoid stockpiling, document partner based businesses, conduct business early in the morning.
- Renting
 - Renting is a transaction of usufruct - buying the utility of something for a period of time. No transfer of ownership.
 - Differences with selling
 - The person using the product (leasing) doesn't own the product.
 - While the person is leasing something it's the owners responsibility to fix it - not the lessee's responsibility.
 - Leasing can pre dated to a future time and it's still binding
 - Unless something prevents the renter from using the product then they can cancel the contract ahead of time (e.g wedding hall)
- What is the مبيع? The thing sold. The product, the service, etc.
- Ethics of employment
 - The work of the employee is an amanah
 - Taking money for doing things that aren't work during work hours is not halal money for the employee
 - When working hours are set, it's obligatory to come and leave on time
- Types of employment
 - أجير خاص - Private or specific employee (specific timeline of employment)

Fiqh of Finance Summarized Notes and Questions

- أجير عام - General employee
- Types of employees
 - Contractor - non exclusive worker, work isn't reserved for one employer
 - When the contractor doesn't deliver what they promised in some way, the employer can get their money back
 - Designated employee - someone hired by one party in a way that he can't work for someone else at the same (typically restrained by time)
- Guidelines to identify unlawful earnings
 - If the job revolves around something haram - obviously or secretly
 - If the job revolves around harming Muslims
 - Compromises religious duties
 - Something that requires you to do something illegal to get paid
- Student loans and credit cards
 - Only allowed if there is a real need and try your best to make the payments on time to not accrue interest.
 - Credit card alternatives
 - *Credit debit cards*: many debit cards can be used as credit cards
 - *Pre paid cards*: has a maximum amount already
- What is interest of excess (ربا الفضل)?
 - When goods of the same kind are being exchanged in different quantities
 - The rule: need to exchange with the same quantity and the same kind of each product, unless it is a spot transaction
- What is Murabaha مرابحة
 - Buying a product for someone, and that person pays you back overtime. Deferred payments are permissible in this.
- What is Musharaka مشاركة - Two or more parties buy something together
 - مشاركة متناقصة - Diminishing partnership - Party A buys off the share that your partner put into the product so party A becomes the full owner.
- Other notes on Islamic financing
 - No such thing as charging for late fees in islamic financing
 - Shared ownership = shared liability
- Banks
 - Banks take money from different sources - one source is the money of other people who keep their money in a bank

Fiqh of Finance Summarized Notes and Questions

- Technically haram but if there's no Islamic option you can use a checking account only - everything else accrues interest
- Any money you make from interest needs to be given away, haram to use
- Questions to ask islamic financing institutions
 - *Where do you get your money from?*
 - *Can I read the contract before going into an agreement with you?*
- Partnerships
 - Joint Ownership (شركة الملك): people buying a share of a product to use for business, can occur from inheritance, etc.
 - Partnership Contract (شركة العقد): a partnership based on a mutual contract
 - شركة الأموال: All partners contribute capital to an enterprise. Can't be in the partnership without contributing to the capital.
 - شركة الأعمال: Service based or vocational partnership. All partners are jointly rendering a service for clients, and the resulting income is shared proportionate to how much time each person spends.
 - شركة الوجوه/الذمم: They don't have money or a service, the partners join in to get loans from others, or use credit to start a business. Once they pay the person back, they split the profits.
- Guidelines for partnerships
 - Partners can be agents of each other ONLY for active partners - those who have a functional role in the partnership
 - Partner must be sane (not necessarily baligh)
 - Clear expectations need to be established
 - Splitting of profit needs to be explicitly documented in percentage
 - Document dissolution
 - Account for all contributed capital clearly
 - Method of dealing with disputes in the partnership is determined ahead of time - there should be an arbitrator
- Profit sharing in partnerships
 - The profit ratio per partner does NOT have to match the contributions of each partner. It's based on agreed profit share ratio.
 - Losses will be in proportion to the contribution of each partner.
 - Profit is always calculated AFTER operational costs (including taxes)
- Mechanism of dissolution (for ongoing partnerships, not limited partnerships)

Fiqh of Finance Summarized Notes and Questions

- Cash assets should be distributed proportionately to each partner based on profit share ratios previously agreed upon
- Non liquid assets can be liquidated then distribute the money proportionately OR in kind (the assets are appraised and distributed)
- Indivisible assets (real estate, one car) are liquidated and then distributed
- Stocks
 - Shareholders of a company can sell their shares - the marketplace where shareholders sell their shares is called the stock market
- Islamic view on stocks
 - One view: Each share represents the value of the company at the time of the evaluation, monetary value, but not ownership of the company.
 - Majority contemporary scholars: a share represents undivided ownership, shareholders are owners of the company.
 - Undivided ownership - what you have loosely represents ownership stake, but not a fixed specific ownership (مشاعة)
- Islamic view on haram companies
 - It is unlawful to invest in this company
 - Principle activity of company should be separated from minority practices.
 - If the minority practices make a small amount of profit for the company then you can invest, but the shareholder must object those earnings.
- Islamic views (2) on companies with halal and haram investments
 - Mixed business companies are not halal
 - Halal if the business is 5% or less of profit, then donate 5%
- Types of sales in stocks
 - Forward sale: when the seller agrees to sell the shares at a future date. Payment and delivery are deferred (haram).
 - Spot sale: Money is paid out and shares are given immediately.
- Halal alternative to bonds - صكوك plural of صك
 - Something issued to pay for a project, and people buy a share of that.
 - صكوك isn't profit, they represent partial ownership of the project. You profit based on the profit of the project, not interest.
- Conventional vs halal investing
 - Conventional is not limited in profit
 - Conventional - returns are guaranteed
 - Halal - if the company loses or gains, so do you

Fiqh of Finance Summarized Notes and Questions

- Halal investments - considered to fall under “ethical investments”
 - صكوك
 - Running businesses
 - Halal stocks
 - Physical assets (gold)
 - Real estate
- Interest
 - Riba means to increase - the increase on top of the principle amount
 - Interest on loans - ربا النسيئة - whether the interest is fixed or not, and not only interest on cash but in any form.
 - Islamic perspectives on loans: (1) As a charitable transaction and to keep money safe (2) Loans are serious and must be repaid
 - Simple Interest (Al-Riba Al-Mufrad) - Interest charged only on principal
 - Loan of 100, pay in 1 year with 10% interest: \$110
 - Compound Interest - Interest is calculated on Principal and Interest owing
 - A loan of 100, payable in 10 months with 10% interest. For over 5 years, you would be adding 10% interest for each year
 - Calculate the interest (Loan at Start x Interest rate)
 - Add the interest to the Loan at start to get the loan at the end of the year
- Leases - Many lease agreements still have interest rates even though you're not owning anything (cars)
- Commercial Interests: Any loans used to finance commercial and business activities
 - consumer/retail banks: personal banking
 - commercial/industrial banks: financing business activities
 - Personal interest-based loan
 - Student loans